L'Oréal manufactures, markets and distributes beauty products to consumers and professionals. Founded in France in 1909, L'Oréal is present in 130 countries in all 5 continents and employs over 78,000 persons worldwide. L'Oréal SA, a French company, acts a holding company of the L'Oréal group, composed of 190 fully or jointly owned subsidiaries and 32 brands.

L'Oréal has been run by Jean-Paul Agon as CEO since 2006 and as Chairman and CEO since 2011. As of February 18th, 2016 L'Oréal's market capitalization was €86,559 million with 559 million shares outstanding at a value of €154.65 each.

1. STOCKHOLDER ANALYSIS AND CORPORATE GOVERNANCE

1.1 Stockholder analysis

The majority of L'Oréal's share is held by two shareholders – the founding family and Nestlé, a long-standing shareholder and friend of the founding family. These two shareholders (and shares owned by L'Oréal) total 57.47% of the share capital of L'Oréal, leaving a free float of 42.53% available to other holders. In more details, the shares are held as follows:

- The largest shareholder of L'Oréal is the founding family, the Bettencourt Meyers family with 33% of the share capital, just below the 33.33% threshold that would require the Bettencourt Meyers family to launch a mandatory public offer over the share capital of L'Oréal.

- The second largest shareholder is Nestlé, with 23.08% of the share capital. Nestlé has been a shareholder of L'Oréal since 1974; Nestlé and the Bettencourt Meyers family are considered as acting "in concert" and are party to a shareholders' agreement that will remain in place until at least 6 month after the death of Mrs Liliane Bettencourt. Although the lock-up and pre-emption clauses in the shareholders' agreement have lapsed, of this shareholder agreement should guarantee a certain stability in the shareholding for the time being.

- L'Oréal holds 1.24% of its shares.

The other 19 largest investors are institutional investors, such as Norges Bank, Blackrock or the Vanguard group. As of December 31th 2014, international and French institutional investors held 36.49% of the shares. The marginal investor in L'Oréal can therefore be considered as a well-diversified institutional investor.

1.2 Corporate governance

The board is composed of the 15 members set out in Schedule 1. The board seems well balanced between the Chairman, board members appointed by the Bettencourt Meyers family (3) and by Nestlé (2) (bringing a total of five board members appointed by the two controlling shareholders), independent board members (7) and employees' representative (2). The two vice-

presidents of the board are chosen among one of the Bettencourt Meyers directors and one of the Nestlé directors.

None of these groups has a majority within the board. While the influence of the two controlling shareholders is obvious, the board's composition does not give the majority to the Bettencourt Meyers family and/or to Nestlé and aims at guaranteeing to the minority shareholders that the board is not acting solely in the interest of the majority shareholders.

2. RISK AND RETURNS[1]

2.1 Performance and risk profile

In the past 5 years, L'Oréal's stock consistently performed better that the French index (CAC 40) both on an annual and cumulative basis:

	Value		Performance (Annual)		Performance (Cumulative since 2010)	
	L'Oréal (€ per share)	CAC 40	L'Oréal	CAC 40	L'Oréal	CAC 40
2016[2]	154.65	4,223			86.15%	10.99%
2015[3]	155.30	4,637.06	11.49%	7.94%	86.93%	21.87%
2014	139.30	4,295,95	9.08%	0	67.67%	12.91%
2013	127.70	4,295,95	21.73%	17.99%	53.71%	12.91%
2012	104.90	3,641.07	29.99%	15.23%	26.26%	-4.30%
2011	80.70	3,159.81	-2.86%	-16.95%	-2.86%	-16.95%

In addition to the above, taking into account dividends paid by L'Oréal's since 2011 (assuming they were not reinvested), the return would be 90.18% for the period from December 31th, 2010 to December 31th, 2015 and annual return was 13.42% for 2015, 11.04% for 2014, 23.93% for 2013, 32.47% for 2012 and -0.70% for 2011, each year higher than the CAC 40.

L'Oréal's annualized Jensen's Alpha is 7.62% confirming its stock does better than the market.

With regards to risk, L'Oréal's R^2 is 0.594. 59% of the risk of L'Oréal can be attributed to the market, 41% being firm specific. Some of L'Oréal's main risks are:

- Product deficiency - L'Oréal needs to ensure the quality and safety of its cosmetics; any health concern would affect the brand and the reputation of its cosmetics' lines;

- Seasonality – many of L'Oréal products are bought as gifts at the end of the year and during the holidays. A disruption during those periods would significantly affect the sales. Similarly, suncare products' sales are dependent of climate conditions;

[1] Other than the market value of equity, the figures for L'Oréal in the following sections are based on last available annual report (for 2014), the full 2015 annual report not yet being available and the half year report not providing sufficient details. On February 11th 2016, L'Oréal only published limited 2015 financial information in a press release.
[2] As of February 18th, 2016
[3] 2011 to 2015 are as of December 31th

- Geographic risk – 39.6% of L'Oréal's sale are made outside of Western Europe and North America, in the "New Markets" (Asia Pacific, Latin America, Eastern Europe and Africa-Middle East). A political or economical disturbance in those regions would also significantly impact L'Oréal's revenues;

- L'Oréal faces other risks faced by any company, such as disruption to IT systems, failure of distribution networks, security of its sites, patent infringements, etc…

On the other side, L'Oréal seems to have low (a) counterparty risks as its financial investments are mainly in short term transferable instruments, (b) customer risks thanks to insurance taken out by L'Oréal and the large number of clients (L'Oréal's 10 largest distributors customers represent only 19.3% of the group's sales) and (c) liquidity risks as L'Oréal has unused committed credit lines totaling €3,300 million.

L'Oréal's raw beta is 0.822, which would indicate that L'Oréal is not seen as a cyclical company and that the sensitivity of the demand for its products is relatively low. This is surprising for cosmetics, however as well put by Helena Rubinstein and Coco Chanel, "there are no ugly woman, just lazy ones" and "a woman who doesn't wear perfume has no future", making it easy to see why L'Oréal's products are a necessity, and L'Oréal has a beta below 1.

The range of L'Oréal's beta is 0.75 to 0.89 within a 67% probability and 0.69 to 0.96 within a 95% probability. L'Oréal is considered a less risky firm that its market as the beta is 1.14 for the general retail industry and 1.32 for the general retail industry in Western Europe, both higher than L'Oréal's range beta, even within a 95% probability.

2.2 Cost of equity, debt and capital

a. ERP, risk free rate, bottom up beta determinations

To estimate the equity risk premium of L'Oréal, I looked at L'Oréal (including the Body Shop)'s cosmetics revenues of regions[4] and applied that regions' risk premium:

Region	Revenues (€ million)	Weight	Region's ERP	L'Oréal's weighted ERP
Western Europe	8,259.7	35.70%	7.16%	2.56%
North America	5,568.5	24.07%	6%	1.44%
Asia Pacific	4,710.5	20,36%	7.49%	1.53%
Latin America	2,000.6	8.65%	10.42%	0.90%
Eastern Europe	1,732.3	7.49%	9.65%	0.72%
Africa	431	1.86%	11.76%	0.22%
Middle East	431	1.86%	7.11%	0,13%
Total				**7.50%**

[4] The Body Shop's "New Markets" and as well as L'Oréal "Africa - Middle East" revenues are not broken down by region. I applied a pro-rata between the regions five regions were L'Oréal operates for The Body Shop's revenues and applied a 50/50 pro rata between Africa and Middle East for the revenues generated in this region.

This results in a weighted ERP for L'Oréal of **7.50%.** As a risk free rate, I used the 10 year German government bond rate of **0.63%.**

I computed a bottom up beta by taking into account L'Oréal activity of sales to professionals (distributor retail) and sales to consumer (general retail):

	Sales (€ million)	Weight	Comparable industry	Unlevered industry beta	L'Oréal's weighted beta
Professional product	3,032.4	13.46%	Distributor retail	0.82	0.11
Consumer products	19,499.6	86.54%	General retail	0.55	0.476
Total	22,532	**100%**			**0.586**

Based on a marginal tax rate of 33.33% and L'Oréal debt to equity ratio of 4.94% (market value), L'Oréal's bottom up levered beta is **0.606**.

b. Cost of equity and cost of debt

Based on the above risk free rate, beta and ERP, L'Oréal cost of equity is **5.17%**, lower than the average cost of equity of the global general retail industry (10.76%) and of the general retail industry in Western Europe (11.71%).

L'Oréal has very little long-term debt, its debt being mainly short term (97.41% of its debt is due within a year); L'Oreal therefore only has short term ratings, which are strong: A-1+ by Standards &Poor's, Prime A by Moody's and F1+ by Fitch Ratings.

L'Oréal's operational profit is €3,583.5 million and its financial cost on gross debt is €31.4 million, which results in an interest coverage ratio of 114%. This ratio being very high, the synthetic rating method to calculate a default spread (which would be 0.75% based on L'Oréal's Aaa/AAA synthetic rating) does not seem appropriate.

L'Oréal indicates in its annual report that its effective interest rates for the group after taking into account hedging instruments, is 0.30%, which is the rate I used to calculate the after tax costs of debt. Based on this rate and a marginal tax rate of 33.33%, L'Oréal's after tax cost of debt is **0.20%**, much lower than the average after tax cost of debt of the general retail industry of 2.11%

It's interesting to note that L'Oréal financial costs are €31.4 million while its financial income on cash and cash equivalent are €42.3 million. L'Oreal makes more financial income that it pays financial costs. Given L'Oréal debt structure, that is largely short term, it could also be considered that L'Oréal effective cost of debt is 0[5].

[5] This is close to being the case now - L'Oréal's indicates in its half year 2015 report that its effective cost of short term debt is 0.01%. I have however used 0.20% as the after tax cost of debt.

c. Cost of capital

L'Oréal does not detail the maturity of its debt year by year, it only distinguishes its maturity as less than 1 year, 1 to 5 years and above 5 years. To calculate L'Oréal's market value of debt, I assumed a maturity of 0.5 for debt below 1 year, 3 years for debt due within 1 to 5 years and 7 years for debt due above 5 years. This results in a market value of debt of €2,602.20 million. For operating leases, L'Oréal uses the same duration categories. I assumed an average duration of 3 years for medium term leases and of 7 years for long term lease to calculate the present value of these payments discounted at a pre-tax cost of debt of 0.30%, resulting in the value of operating leases being €1,676.46 million.

This results in a market value of debt outstanding of €4,278.7, while the book value of debt is €4,278.6 million.

Market value of equity of L'Oréal is €86,559 million versus book value of €20,188.7 million.

Based on a cost of equity of 5.17% and a cost of debt of 0.20%, the market value cost of capital of L'Oreal is **4.94%** (the book value cost of capital is 4.30%), lower than the average cost of capital of the global general retail industry (8.27%) and the general retail industry in Western Europe (7.14%).

3. INVESTMENTS

L'Oréal indicates that it realizes (a) scientific investments and investments in equipment, mainly for R&D and innovations, which will likely be long-term[6] and (b) marketing investments, made on an on-going basis, which will likely be short terms.

In 2014, L'Oréal invested €1,008 million as follows: (a) 33% for production and physical distributions, (b) 42% as marketing investments and (c) the remainder for research and head offices.

I measured L'Oréal's return on capital as a firm, by taking into account the operational profit (EBIT) of €3,583.4 million and the book value of capital invested of €20,322.7 million (estimated as the book value of debt and equity less cash and cash equivalent as of the beginning of the reference year). This results in an after tax return on capital of **11.76%.**

Relative to cost of capital of 4.94%, L'Oréal earns excess returns of **6.82%,** with a positive EVA of **€1,385.40 million.**

L'Oréal has a lower ROC that the general retail industry average (12.56%), however due to its lower cost of capital that the industry, it is able to maintain a higher excess return that the industry average (5.24%).

L'Oréal does not breakdown the capital employed for each division however it breakdowns operating profits and operational assets per division. While these percentages cannot be

[6] L'Oréal research budget is 3.4% of its sales and in 2014, the research budget increased of 1.6% compared the 2013.

compared with the firm's ROC as they are not based on the same data, they provides an interesting view of which divisions performed better relative to asset and capital employed.

L'Oréal has 5 divisions, the four first divisions accounting for 96% of its sales and the Body Shop for 4%: (1) Professional Products division, which are products sold to hair salons; (2) Consumer Products divisions, which are product sold through mass-market retail channels; (3) L'Oréal Luxe division which are products sold in selective retail outlets; (4) Active Cosmetics divisions, which are product sold through "health" channels and (5) The Body Shop brand, that sells the Body Shop branded products in its retail shops.

For each division, based on operating profit and operational assets, the return is as follows:

Division	Operating profit (2014) (€ million)	Operational assets (2013)	Return
Professional Products	608.8	3,013.9	20.20%
Consumer Products	2,186.2	6,450	33.89%
L'Oréal Luxe	1,269.2	4,382.5	28.96%
Active Cosmetics	376.4	8,28.6	45.43%
Body Shop	65.3	1,196.7	5.46%

Based on the above, L'Oréal should affect more assets, and invest, in the Active Cosmetics divisions and the Consumer Products divisions. The Body Shop has a much lower return than L'Oréal's other division; its return since 2012 has been decreasing yearly (2015's return is even lower, at 4.32% and 2015 sales fell by 0.9% on a like-for-like basis) and the average return in the past 5 years is 5.75%. Even if L'Oréal launched a restructuring program of The Body Shop in 2014, L'Oréal could consider selling The Body Shop, that L'Oréal acquired in 2006.

L'Oréal could also consider selling its participation in Sanofi. L'Oréal hold 118 million shares in Sanofi, representing 8.96% of its share capital[7]. The return of Sanofi's dividends paid to L'Oréal compared to the market value of L'Oréal's participation has been 3.76% in average in the 3 past years. Even if Sanofi's dividend yield of 3.85% and dividend payout of 61.78% (both 3 year average) are higher than its industry (respectively 1.07% and 42.16%), this return is lower than L'Oréal's ROC. Also, synergies between the two businesses are not obvious. L'Oréal could consider selling Sanofi to fund investments with better returns (or to return more funds to its shareholders as L'Oréal's dividend yield and payout are below industry average as seen below).

4. CAPITAL STRUCTURE

L'Oréal debt to equity ratio is 4.94%, which is significantly lower than the average D/E ratio of the global general retail industry (51.07%) and Western Europe general retail industry (112.26%).

L'Oréal's debt consists mainly of short term paper (€2,984.8 million), overdraft (€48,4 million) and other non detailed borrowings and debt (€172.6 million). 97.41% of L'Oréal's debt is due in

[7] This participation gives L'Oréal 16.18% of the voting right in Sanofi making L'Oréal its the largest shareholder.

within a year, 1.98% is due between 1 and 5 years, and 0.61% is due within more than 5 years. The debt is mainly in Euro (71%), with a portion in US dollars (19%), the rest being in local currencies (Brazilian Reals, Chinese Renminbi, Canadian Dollars, Indonesian Rupiah, Egyptian Pounds, British Pounds, Russian Rubles and others) and L'Oréal uses hedging contracts for currencies. Most of L'Oréal debts has a floating rate (98.7%).

The gain/loss of L'Oréal in taking on more debt would be:

Factor	L'Oréal
Tax Benefit	L'Oréal has a marginal tax rate of 33.33% and indicates in its 2014 annual report that its effective tax rate is 25.5% (this tax rate excludes income tax on non-recurring items. Measuring L'Oréal's income taxes to its profit before tax, L'Oréal's effective tax rate is 28.56%). Either way, the effective tax rate is higher than the average effective tax rate of general retail companies (23.61%). More debt would allow L'Oréal to reduce its effective tax rate, however L'Oréal's cost of debt is currently very low. L'Oréal would need to incur an important amount of debt to reduce its effective tax rate. The tax benefit therefore seems limited.
Added discipline	The majority of the share capital of L'Oréal is held by 2 stable shareholders having a say in management, even if they do not hold a majority at the board. There does not seem to be a big gain in terms of added discipline.
Bankruptcy risk	The bankruptcy risk seems remote, given L'Oréal' size and its earnings, which have steadily increased in the past 5 years save for 2014[8], and the low debt level.
Agency costs	Like any firm, L'Oréal will suffer the agency cost of added lenders' control. L'Oréal constantly increases its investments in R&D to come up with innovative products, which might in addition make lenders uncomfortable.
Future flexibility	L'Oréal seems to easily have access to the market and to financing: it has unused committed credit lines of €3,300 million, and the group uses financial markets on a regular basis to issue commercial paper in France and in the US. Further borrowing should not significantly impact L'Oréal position or future flexibility given L'Oréal's very low debt/equity ratio and its stable earnings.

5. OPTIMAL STRUCTURE & FINANCING CHANGES

L'Oréal's optimal debt to equity ratio is **30%** as shown in Schedule 2.

If L'Oréal increases its debt up to a 30% debt ratio, the cost of capital should decrease to **4.81%**, which would result in an increase in L'Oréal's value as a firm by **€3,108 million** and an increase of its stock price of **€5.56.**

[8] Save for 2014 when it has reduced by -1% due to a non-recurring fine. Discarding this fine, L'Oréal's operating income has increased of 4% as explained below.

Although growth is not as strong as in the past years, L'Oréal operating income has steadily increased in the past 5 years, saved for 2014[9]. Looking back at the last 20 years, L'Oréal's operating income has increased in average by 12%[10]. Overall, L'Oréal's earnings are growing and stable and L'Oréal's should be able to sustain additional debt. It seems an unlikely target for a takeover, given its shareholder structure (family owned at 33% and long-term shareholding of Nestlé), its market capitalization (over €80 billion) and its positive stock price evidenced by its positive Jensen's alpha and the returns detailed in section 2.1.

L'Oréal could enter into more long term borrowings to fund its long term R&D investment and by doing so now should benefit from the current low interest rates for borrowings in Euro. L'Oréal's regional research's hubs are located in the US, China, Japan, Brazil and India. L'Oréal could continue to borrow in the local currencies where the funds are used for the investments needed in these local R&D hubs or, if interest costs are higher in these countries, could borrow in Euro and hedge its currency exposure, depending on the local interest rates and hedging costs.

Given the current low rates, L'Oréal could take advantage of fixed rate loan, or enter into floating rates loan and hedge its exposure to maintain a low rate throughout the life of the financings, depending on the hedging costs.

L'Oréal could also borrower to buy-back it shares and distribute more to its shareholders, as shown in section 6, to increase its debt to equity ratio.

Regarding short term debt, L'Oréal seems to have sufficient available funds under its €3,300 committed facilities, however L'Oréal could borrow additional sums to achieve a 30% optimal D/E ratio.

6. DIVIDEND AND SHARE BUY BACK POLICY & ASSESSMENT

L'Oréal pays dividends every years resulting in the dividends payout and yield in the table below:

Year	Dividend pay-out	Dividends yield
2014	32.38%	1.7%
2013	48.13%	1.6%
2012	43.76%	1.5%
2011	45.38%	1.3%
2010	41.11%	1,2%

[9] Operating income increased by +26% in 2010, +10% in 2011, +8% in 2012, +6% in 2013 and -1 in 2014. The negative growth of 2014 is due mainly to a provision for a non recurring fine of €189,5 millions levied by the competition authorities that L'Oréal has appealed, as well as to a new tax imposed on high salaries by France. Disregarding the fine, L'Oréal's operating income has grown by 4%.

[10] There were only 2 years where operating income has decreased: -26% in 2008, which can be explained by the unusual growth of 2007(+ 39% compared to 2006 due mainly to the sale of a participation in Sanofi Aventis) and -10% in 2009 due mainly to the costs of industrial and logistics reorganization in Europe.

L'Oréal dividends payments are lower than the industry average: the global retail industry average's payout is 48.33% (50.62 in Western Europe) and yield is 2.32% (2.72% in Western Europe). L'Oréal however adopts a different computation of dividend payout (excluding non-recurring items) that brings it in line with industry average as shown in Schedule 3.

L'Oréal also buys back shares regularly. The current share buyback program voted in 2015 is for a maximum amount of €12,908 million and L'Oréal announced in February 2016 that it would buy-back up to 500 million of shares during the first half of 2016.

The dividends and share buybacks made by L'Oréal the past 5 years are shown below (€ million):

Year	FCFE	Dividends	Stock buy back	Cash return as % of FCFE	Cash return as % of net income
2014	*7,688.6*[11]	*1,589.3*	*6160.3*	*100.79%*	*280.18%*
2014 excluding Nestlé buyback	7,688.6	1,589.3	123	22.27%	61.91%
2013	2227,3	1425,4	660,6	31.34%	70.44%
2012	837,3	1267,8	257,7	182.19%	52.65%
2011	1647,9	1107,6	208,2	79.85%	53.91%
2010	1243,2	921,6	184	88.93%	49.31%

The 2014 share buy-back should not be fully taken into account as distributions to shareholders since most of it was paid to Nestlé: L'Oréal bought back and cancelled 48,5 millions of its shares (8% of the capital) from Nestlé in exchange for the acquisition by Nestlé of the Galderma group, paid by Nestlé in L'Oréal's shares, and a cash payment by L'Oréal to Nestlé of €3,4 billions[12].

Disregarding the effect of the Nestlé share buy-back, in the past 5 years, L'Oréal has distributed less than its FCFE to its shareholders, save for 2012.

L'Oréal passes the test for each of the following used to assess its dividend policy:

- Corporate Governance: as set out in section 1.2, the board of L'Oréal appears to be well diversified, the two majority shareholders hold more than 50% of the share capital, allowing them some control over the managers, although the board composition aims at guaranteeing that not only the interest of the majority shareholders are served;

- Stock Performance: as set out in section 2.1, L'Oréal stock performs each year better than the French market. Looking at L'Oréal return on equity compared to its required rate of return (taking into account the return on the market during the same period), L'Oréal's ROE

[11] For the calculation of the 2014 net income and FCFE, I subtracted the net income from the discontinued operations relating to the Galderma sale to Nestlé, as this was a non-cash income.

[12] As a result of this share buy-back, the Nestlé stake in L'Oréal was reduced from 29.4% to 23.29% and the Bettencourt Meyers family's stake in L'Oréal was increased from 30.6% to 33.31%.

– cost of equity was 23.63% for 2014. This rate varies for the past 5 years but is always positive. Similarly, L'Oréal's Jensens' Alpha is also constantly positive;

- Investment Policy: as set out in section 3, L'Oréal earns excess return on its investments relative to its cost of capital and a positive EVA.

Based on the above, even if L'Oréal could distribute more to its shareholders and has a lower dividend yield, and a lower dividend payout depending on the computation, than industry average, L'Oréal has earned some flexibility on its dividend policy.

7. VALUATION

The 2015 accounts are not yet available however some of 2015 results were announced on February 11th, 2016. For the valuation, I used that financial information and for the information that was not contained in that press release, I used other available sources[13].

Assuming the following:

- During the first 5 years (a) an initial risk free rate of 0.63% and an initial cost of capital of 4.94%, determined as per the section 2.2 and (b) an annual revenue growth of 5.30%, based on L'Oréal's revenue CAGR during the past 5 years;

- From year 6 to year 9, a reducing revenue growth and cost of capital, reaching respectively in year 10 and for the terminal value (a) the risk free rate of 0.63% and (b) the estimated cost of capital of mature companies (risk free rate + 4.5%), i.e. 5.13%

- A sales to capital ratio, for computing reinvestments, of 109.8% based on 2015' ratio,

the summary results attached in Schedule 4 show that **L'Oreal is slightly overvalued**.

The price per share amounts to €143.38 versus a share price of €154.65 as at February 18th, 2016, i.e. the share trades at an 8% premium on intrinsic valuation.

If however, we assume (a) a higher growth rate for L'Oréal after year 5, given L'Oréal past growth and potential growth in both (i) the "New Market" (Eastern Europe grew of + 9.8% in 2015 compared to 2014 and Middle East-Africa grew by +12%), and (ii) the high return divisions Active Cosmetic and L'Oréal Luxe (respectively + 7.8% and + 6.1% in 2015) and (b) some changes to the reinvestment percentage, L'Oreal valuation would increase, making L'Oréal's motto true!



[13] The value of the Sanofi stake is the market value as of February 18th, 2016, minority interests is based on 2015 half year accounts and operating lease information is from the last available annual account (2014).

Schedule 1
Composition of the Board of Director of L'Oréal

Name & Title	Main outside position	Appointed by
Jean-Paul Agon Chairman & CEO	n/a	AGM as director, board as Chairman and CEO
Françoise Bettencourt Meyers	n/a	Bettencourt Meyers family
Jean-Pierre Meyers	n/a	Bettencourt Meyers family
Jean-Victor Meyers	n/a	Bettencourt Meyers family
Peter Brabeck-Letmathe	Nestlé	Nestlé
Christiane Kuehne	Nestlé	Nestlé
Belen Garijo	Merck Healthcare	Independent member
Virginie Morgon	Eurazéo	Independent member
Annette Roux	Bénéteau	Independent member
Charles-Henri Filippi	Citigroup France	Independent member
Xavier Fontanet[14]	Schneider Electric	Independent member
Bernard Kasriel	Arkéma	Independent member
Louis Schweitzer	Véolia Environnement	Independent member
Ana Sofia Amaral	n/a	Employee representation
Georges Liarokapis	n/a	Employee representation

L'Oréal follows the recommendations set by the French corporate governance professional body (AFEP-MEDEF) to determine if a director is an "independent director". The criteria set out by AFEP-MEDEF to assess independence include that the director may not be an officer or employee of the company, nor a customer, supplier, investment banker or financial banker of the company, nor have any family link, and that the director may not be a director of that company for more than 12 years.

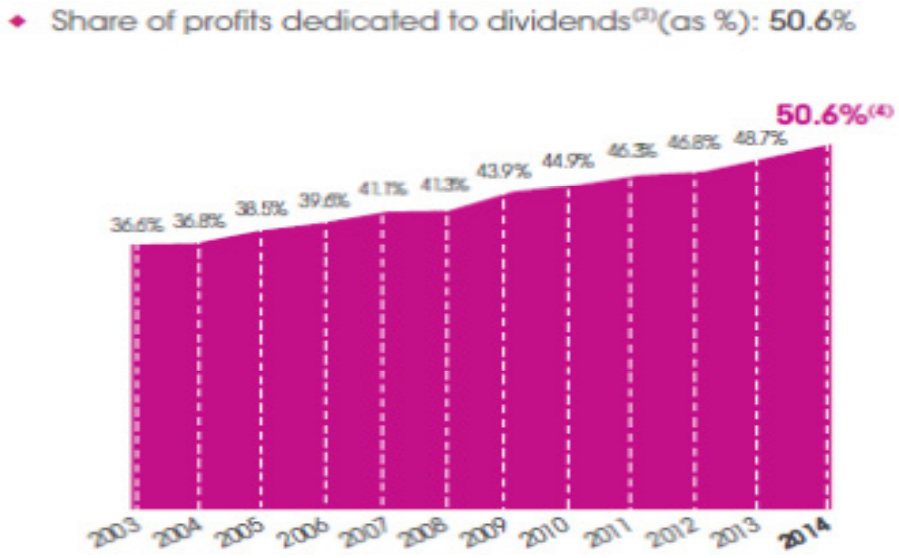
[14] Although Xavier Fontanet has been a director for more than 12 years, the board considered that he is still objective and the shareholders approved his renewal as an "independent" board member.

Schedule 2
Optimal Debt to Equity ratio

Debt ratio	Synthetic rating	Cost of equity	Cost of capital	Value (€ million)
0%	Aaa/AAA	5.17%	5.18%	81,854
10%	Aaa/AAA	5.51%	5.05%	84,121
20%	Aaa/AAA	5.93%	4.93%	86,517
30%	**Aaa/AAA**	**6.47%**	**4.81%**	**89,053**
40%	Caa/CCC	7.20%	6.89%	59,475
50%	C2/C	8.92%	11.32%	34,798
60%	C2/C	11%	12.92%	30,268
70%	C2/C	14.45%	14.52%	26,782
80%	C2/C	21.37%	16.12%	24,015
90%	C2/C	42.03%	17.72%	21,767

Schedule 3

Dividend Payout as shown in L'Oréal's 2014 annual report, in line with industry average



(3) Dividend distribution rate based on diluted net profit excluding non-recurring items, group share, per share. Taking into account Sanofi not consolidated in the period 2002-2003. (4) On the basis of the dividend proposed to the Annual General Meeting of April 17, 2014.

Schedule 4
Summary of the evaluation of L'Oréal

Terminal value	**€ 82, 208 m**
PV(Terminal value)	€ 50,483 m
PV (CF over next 10 years)	€ 22,596 m
Sum of PV	€ 73,079 m
Value of equity	€ 80,994 m
Estimated value /share	€ 143.38
Price per share as of February 18th, 2016	€ 154.65
Price as % of value	**107.8%**